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TECH

Nvidia Profit Tops Guidance

Chip maker sees current quarterly sales above Wall Street estimates

By Don Clark and Josh Beckerman
Updated May 12, 2016 at 6:49 pm ET

Chip company Nvidia reported high profits and sees strong sales next quarter. REUTERS

Nvidia Corp. NVDA -3.93% ▼ said its profit rose 46% in the latest quarter as videogame enthusiasts continue to pay up for greater performance and the company's moves into new markets showed signs of paying off.

The chip maker, whose results for the first fiscal quarter topped analyst expectations, also issued a revenue forecast for the current quarter that was higher than Wall Street expected.

Nvidia jumped 5.8% to $37.63 in after-hours trading.

The company, based in Santa Clara, Calif., makes chips called graphics processing units, or GPUs, that are used in tasks such as generating animated scenes in game software. Demand for graphics cards containing the company's chips have remained strong, despite a slowdown in the overall PC market.

Nvidia said Thursday that gaming platform revenue in the period ended May 1 rose 17% to $687 million, despite recent announcements of new graphics chips that some analysts feared might cause customers to hold off purchases.

Jen-Hsun Huang, Nvidia's chief executive, said the company has been helped by demand from consumers to play new game software at the highest possible image quality. "Gaming is just a larger and larger market," he said during a conference call with analysts.

Another factor is that games played on PCs, Nvidia's biggest business, gradually are becoming a bigger market for software developers than gaming on videogame consoles, said Roger Kay, an analyst at Endpoint Technologies Associates.

Nvidia last Friday night unveiled a new flagship GPU called the GTX 1080 that it said is twice as fast as the chip it is replacing, while priced about 40% less. But Patrick Moorhead, an analyst at Moor Insights & Strategy, longtime rival Advanced Micro Devices Inc. is working on a chip dubbed Polaris that will likely put additional pricing pressure on Nvidia.

Beyond videogames, Nvidia has pushed GPU technology into fields that include server systems and cars. Nvidia said revenue from its data center business surged nearly 63% to $143 million, while auto-related revenue rose 47% to $113 million.

In all, first-quarter net income rose to $196 million, or 33 cents a share, compared with profit in the year-earlier period of $134 million, or 24 cents a share, a year earlier. Revenue increased 13% to $1.3 billion.

Excluding stock-based compensation and other items, per-share earnings rose to 46 cents from 33 cents. Analysts on that basis had expected earnings per share of 32 cents on $1.27 billion in revenue, according to Thomson Reuters.

For the current period, Nvidia projected revenue of $1.35 billion, plus or minus 2%, compared with analysts' average estimate of $1.28 billion.

Nvidia said it entered into a $500 million accelerated share buyback during the quarter. The company said it has returned just over $3.5 billion to shareholders under a current capital return program.

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Don Clark joined The Wall Street Journal in 1993, and served as an editor and reporter in the San Francisco bureau. He covered technology since 1980, including a focus for the Journal on semiconductors and component companies. He is also interested in startups and in intellectual property and antitrust issues.

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